



RIPHAH
INTERNATIONAL UNIVERSITY



RIPHAH
DEPARTMENT OF ISLAMIC STUDIES

Ethics & Economy

Department of Islamic Studies
Faculty of Social Sciences and Humanities
Riphah International University Islamabad, Pakistan
Email : Islamic.studies@riphah.edu.pk
Contact # +92 320 7863888



Objective of lecture

- To learn the basic teachings of Islam about economic matters.
- To know the importance of economic activities in Islam.
- To know specific rules and regulations about different areas of economics.
- To know the implementation of concept of justice in the field of economics.
- To know about the business ethics of Islam.



Basic Questions

There are some important questions about the ethics and economics.

What Islam says about economic activities?

What are the characteristics of Islamic economics?

Are the Islamic guiding principles applicable in present time?

How is justice achieved in economic matters while following Islamic guidelines ?

What are the basic business ethics in Islam?



Characteristics of Islamic Economic order

1. A Special Concept of Ownership:

In Islam Allah is the real and ultimate owner of all things. The Quran says:

لِلّٰهِ مَا فِي السَّمٰوٰتِ وَمَا فِي الْاَرْضِ

"To Allah belongs whatever is in the earth and the skies". (Al-Baqarah: 284)

Allah (SWT) has put these things at the disposal of human beings as *Khalifatullah fil Ardh* as trust.

وَلَقَدْ مَكَّنُّكُمْ فِي الْاَرْضِ وَجَعَلْنَا لَكُمْ فِيْهَا مَعٰيِشًا ۗ قَلِيْلًا مَّا تَشْكُرُوْنَ (7:10)

We find different types of ownership in Islam, including; i) private, ii) communal and iii) state ownership.

Man is allowed to own private and productive resources. Some important things like water, canals pastures and graveyards were communal properties. The state owned the mines, rivers and large tracts of land. After the conquest of Syria and Iraq, these lands were made state lands and were not allowed to go into private ownership.



2. Integration of Din and Dunya

﴿يَا أَيُّهَا الَّذِينَ آمَنُوا إِذَا نُودِيَ لِلصَّلَاةِ مِنْ يَوْمِ الْجُمُعَةِ فَاسْعَوْا إِلَى ذِكْرِ اللَّهِ وَذَرُوا الْبَيْعَ ذَلِكُمْ خَيْرٌ لَكُمْ إِنْ كُنْتُمْ تَعْلَمُونَ (9) فَإِذَا قُضِيَتِ الصَّلَاةُ فَانْتَشِرُوا فِي الْأَرْضِ وَابْتَغُوا مِنْ فَضْلِ اللَّهِ وَاذْكُرُوا اللَّهَ كَثِيرًا لَعَلَّكُمْ تُفْلِحُونَ (10)﴾ سورة الجمعة.

Believers, when the call for Prayer is made on Friday, hasten to the remembrance of Allah and give up all trading. That is better for you, if you only knew. But when the Prayer is ended, disperse in the land and seek Allah's Bounty, and remember Allah much so that you may prosper.

(al-Jumu'a 62: 9-10)

This ayah shows that offering prayers at its time and involvement in business activities both are instructed by Allah (SWT) and hence both are *Ibadah*.



3. Freedom of work and enterprise:

Islam has allowed freedom of work and enterprise within Halal activities. This is evident from the Madinah model of Islamic economy where everyone was authorized to perform business.

The Qur'an and Ahadith mention the importance of agriculture, trade & business, manufacturing, employment etc. which establishes that these are permissible activities. The Quran states that “Allah has made business lawful for you” (al-Baqarah: 275)



4. Achievement of *Falah* as the Core Objective

- Worldly systems defines Profit motive as the basic objective for performing economic activities. Islam provides a much wider scope and put Achievement of *Falah* as the core objective
- *Falah* is very comprehensive term and it include success in this world and in life hereafter. As Allah (SWT) says in the Qur'an
 - يَا أَيُّهَا الَّذِينَ آمَنُوا لَا تَأْكُلُوا الرِّبَا أَضْعَافًا مُّضَاعَفَةً وَاتَّقُوا اللَّهَ لَعَلَّكُمْ تُفْلِحُونَ ﴿١٣٠﴾
- O ye who believe! Devour not usury, doubled and multiplied; but fear Allah; that ye may (really) prosper.
- Profit can be earned by cheating and harming others but *Falah* can only be achieved by doing things according to divine guidance.



5. Prohibition of Interest:

Islam prohibits interest. As Allah (SWT) declares in the Qur'an

**"...Allah has made trade lawful,
and interest unlawful..."(al-Baqarah: 275)**

وَأَحَلَّ اللَّهُ الْبَيْعَ وَحَرَّمَ الرِّبَا

This requires a total reorganization of the economy, banking, investment, exchange, business and international trade.

In the last 50 years hundreds of Islamic banks and financial institutions have been set up and this providing an alternative model in most Muslim and some non-Muslim countries. Its viability and practicability has been accepted by economists and bankers and many consider this system superior than conventional system in some respects.

A body of literature has already come up on this subject.



6. System of Zakah:

Islam has made payment of Zakah compulsory out of the wealth of rich Muslims to be spent on the weaker and distressed sections of the society.

وَأَقِمْوَا الصَّلَاةَ وَآتُوا الزَّكَاةَ وَاطِيعُوا الرِّسُولَ لَعَلَّكُمْ تُرْحَمُونَ

Establish Prayer and pay Zakah and obey the Messenger so that mercy may be shown to you. (al-Noor24:56)

Zakat not only distributes wealth between the rich and the poor it also influences investment, savings and allocation of income and resources.

A rich body of literature has come up in recent times on Zakat. The Zakat and Ushr ordinance of Pakistan can be particularly referred to in this connection.



7. Concern for Poor:

This is a special feature of Islam. Zakat is one institution which testifies to this. Allah (SWT) says in the Qur'an

وَنُرِيدُ أَنْ نَمُنَّ عَلَى الَّذِينَ اسْتُضِعُوا فِي الْأَرْضِ وَنَجْعَلَهُمْ أَئِمَّةً وَنَجْعَلَهُمُ الْوَارِثِينَ

We desired to show favour into those who were depressed in the earth, and to make them leaders and to make them inheritors and to establish them on earth (Sura Qasas, Ayat: 5-6)

Emphasis on *Infaq fi Sabilillah*

Responsibility to take care the close relatives, neighbors, wayfarer, orphans, widows etc.



8. Distribution of Inheritance:

Islam has not left the distribution of inheritance on the whims of a person; In Islam a person can not favour one over the other of his relations for temporary or subjective reasons as is the rule in the West. Islam distributes inheritable property among several groups of people:

- i) Children
- ii) Husband / Wife
- iii) Parents
- iv) Brothers and sisters in certain situations

It is a major tool for eradication of concentration of wealth.



9. Denial of World rejection

وَرَهْبَانِيَّةً ابْتَدَعُوهَا مَا كَتَبْنَاهَا عَلَيْهِمْ إِلَّا ابْتِغَاءَ رِضْوَانِ
اللَّهِ فَمَا رَعَوْهَا حَقَّ رِعَايَتِهَا فَآتَيْنَا الَّذِينَ آمَنُوا مِنْهُمْ
أَجْرَهُمْ وَكَثِيرٌ مِنْهُمْ فَاسِقُونَ ﴿٢٧﴾

“...As for monasticism, it is they who invented it, We did not prescribe for them. They themselves invented it in pursuit of Allah’s good pleasure and then they did not observe it as it ought to have been observed”. (*al-Hadid 57:27*)

Islam encourages the believers to actively participate in productive activities and declares it act of Ibadah if performed following the guidance provided by Allah (SWT) and His messenger (SAW).



b) Socio-Economic Justice

Socio-economic justice is one of the most important teachings of Islam. According to the Qur'an, the primary mission of all Messengers was to establish justice in this world (al-Hadid:25)

لَقَدْ أَرْسَلْنَا رُسُلَنَا بِالْبَيِّنَاتِ وَأَنْزَلْنَا مَعَهُمُ الْكِتَابَ وَالْمِيزَانَ لِيَقُومَ النَّاسُ بِالْقِسْطِ

All of the Qur'anic teachings are essentially directed towards enabling people to live with each other in peace and to fulfill their mutual obligations with honesty and faithfully so as to ensure justice and general well-being (Falah). Within the purview of this mission of the Messengers, the Qur'an predicts that injustice leads ultimately to destruction (Taha 20: 111)



The second source of Shariah is the Sunnah, which also speaks strongly in favor of justice and condemns injustice in very forceful and unambiguous terms.

While the Qur'an predicts destruction to be the consequence of injustice, the Prophet (PBUH), predicts darkness to be the consequence.

Both essentially imply the same thing: failure to ensure human well-being will lead to darkness and destruction.



The poor and the needy are entitled to a share of the society's wealth.

وَالَّذِينَ فِي أَمْوَالِهِمْ حَقٌّ مَّعْلُومٌ (24) لِلسَّائِلِ وَالْمَحْرُومِ (25)

And those in whose wealth there is a recognized right
For the mendicant and the deprived (al-Maa'rij:24,25)

Thus, Zakat has central importance in Islamic society. Everybody is permitted to accumulate wealth that is left over after meeting one's legitimate and reasonable commitments and after giving a percentage of one's income to charity.

Another major tool for achieving socio-economic justice is the prohibition of Riba to avoid any unfair advantage in exchange dealings between parties.



Disbursement of *zakah*

إِنَّمَا الصَّدَقَتُ لِلْفُقَرَاءِ وَالْمَسْكِينِ وَالْعَمِلِينَ عَلَيْهَا وَالْمُؤَلَّفَةِ قُلُوبُهُمْ وَفِي الرِّقَابِ
وَالْغَرَمِيِّنَ وَفِي سَبِيلِ اللَّهِ وَابْنِ السَّبِيلِ فَرِيضَةٌ مِّنَ اللَّهِ وَاللَّهُ عَلِيمٌ حَكِيمٌ ﴿٦٠﴾

“ The *sadqaat* are meant only for the poor, and the needy and those who are in charge thereof , those whose hearts are to be reconciled and those in bondage and to help those burdened with debt, and for expenditure in the way of Allah and for the wayfarer. This is an obligation from Allah. Allah is All knowing, All wise”.

al-Tawbah 9:60



A Comprehensive Social Security System

- Islam offers a comprehensive social security system to ensure the fulfillment of basic necessities of every individual.
- At first stage every individual is encouraged to work hard to earn Halal resources for him and his family and avoid to be dependent on others
- Family institution is strengthened in order to provide protection when a person is unable to work for himself or herself
- People in a close circle are made responsible to take care if someone is in need like close relatives, neighbors, friends etc.
- Ultimately Islamic state is responsible for all the citizens. Institution of *Bait-ul-Maal* is play significant role in this regard.



Islamic Business Ethics

1 Enjoying the lawful

يَا أَيُّهَا الَّذِينَ آمَنُوا لَا تُحَرِّمُوا طَيِّبَاتِ مَا أَحَلَّ اللَّهُ لَكُمْ وَلَا تَعْتَدُوا إِنَّ اللَّهَ لَا يُحِبُّ الْمُعْتَدِينَ ﴿٨٧﴾
وَكُلُوا مِمَّا رَزَقَكُمْ اللَّهُ حَلَالًا طَيِّبًا وَاتَّقُوا اللَّهَ الَّذِي أَنْتُمْ بِهِ مُؤْمِنُونَ ﴿٨٨﴾

“Believers do not hold as unlawful the good things which Allah has made lawful to you, and do not exceed the bounds of right, and partake of lawful , good things which Allah has provided you as sustenance, and refrain from disobeying. Allah in whom you believe”.

al-Ma'idah 5:87-88



2. Dignity of labor

عن المقدم . رضى الله عنه . عن رسول الله صلى الله عليه وسلم قال :
ما أكل أحد طعاماً قط خيراً من أن يأكل من عمل يده ، وإن نبي الله داود
عليه السلام كان يأكل من عمل يده

“Al Miqdam reported the Messenger of Allah (may peace be upon) as saying : "No one has ever eaten better food than what he eats as a result of the labour of his hand. And verily, Allah's Prophet Dawud used to eat by the work of his hand.”

Bukhari, Book 34 ,chapter:15

Direct participation in productive activities is preferred over earning without participation.



3 Ethical transactions

يَا أَيُّهَا الَّذِينَ آمَنُوا لَا تَأْكُلُوا أَمْوَالَكُم بَيْنَكُم بِالْبَاطِلِ إِلَّا أَنْ تَكُونَ
تِجَارَةً عَنْ تَرَاضٍ مِّنْكُمْ وَلَا تَقْتُلُوا أَنْفُسَكُمْ إِنَّ اللَّهَ كَانَ بِكُمْ رَحِيمًا

“O you who believe, take not your wealth among yourselves in wrongful ways, but let there be trade among you by mutual agreements ...”
(*al-Nisa* 4:29)

All prohibited means e.g. Riba, Bribery, Theft, Gambling etc comes under the definition of *Aklul Maal bil Batil*



4. Prohibition of bribe

وَلَا تَأْكُلُوا أَمْوَالَكُم بَيْنَكُم بِالْبَاطِلِ وَتُدْلُوا بِهَا إِلَى الْحُكَّامِ لِتَأْكُلُوا فَرِيقًا
مِّنْ أَمْوَالِ النَّاسِ بِالْإِثْمِ وَأَنْتُمْ تَعْلَمُونَ

“And do not eat one another’s property among yourselves in wrongful ways, nor seek by it to gain the nearness of the judges that you may sinfully consume a portion of other men’s goods and that knowingly.”
(*al-Baqarah* 2:188)

A famous Hadith states that The giver and the Receiver of Bribe both will go in the Hell fire.



5. Standardization of scales and benchmarks

وَيْلٌ لِّلْمُطَفِّفِينَ الَّذِينَ إِذَا اكْتَالُوا عَلَى النَّاسِ يَسْتَوْفُونَ وَإِذَا كَالُوهُمْ أَوْ وَزَنُوهُمْ يُخْسِرُونَ

“Woe to the defrauders who, when they take the measure from men, exact full measure, but when they measure or weigh for them give less than is due.” (*al-Mutaffifin* 83:1-3)

Allah (SWT) has shown His anger if someone is having double standards in receiving and paying something.



6. Moderation and balance

وَالَّذِينَ إِذَا أَنْفَقُوا لَمْ يُسْرِفُوا وَلَمْ يَقْتُرُوا وَكَانَ بَيْنَ ذَلِكَ قَوَامًا ﴿٦٧﴾

who, when they spend, are neither extravagant nor stingy, but keep the balance between those two extremes;

al-Furqan 25:67



7. Honest tradesman's status

التَّاجِرُ الصَّدُوقُ الْأَمِينُ مَعَ النَّبِيِّينَ وَالصِّدِّيقِينَ وَالشُّهَدَاءِ. أَخْرَجَهُ يَعْلَى

“Ibn 'Umar said: The Messenger of Allah (may peace be upon him) said: The Honest and truth full trader shall be with the *anbia*, *siddiqin*, and *shuhada*, (in *al-akhrh*)

Sunan Tirmidhi,

bab ma ja‘ fi al-tijarah, hadith hasan



8. Protection of Wealth

وَالسَّارِقُ وَالسَّارِقَةُ فَاقْطَعُوا أَيْدِيَهُمَا جِزَاءً بِمَا كَسَبَا
نَكَالًا مِّنَ اللَّهِ وَاللَّهُ عَزِيزٌ حَكِيمٌ ﴿٣٨﴾

“As for the thief, male and female, cut off the hand of both. This is a recompense for what they have done, and as exemplary punishment from Allah, Allah is all Mighty, All Wise”.

(al-Ma'idah 5:38)

To some people this punishment looks very harsh but Islam wants to protect Life and wealth of everyone therefore Allah (SWT) has announced savior punishments for those who intend to harm them.



9. Unethical (Unlawful) means of earning

The Qur'an provides a list of activities which unlawful and should not be used to earn livelihood by any believer e.g.

- Grabbing other People's property without compensation or through deceitful means or fraud.
- Bribery
- Extortion Robbery, Theft
- Abuse of orphan's property
- Sexploitation, obscenity and indecency.



Unethical (Unlawful) Means of Earning

- Music and performing arts
- Human trafficking
- Manufacturing, trading , marketing, storing and transportation of liquor
- Betting of all sort
- Idol making, trade and production
- Interest based transactions, (at high or low rate of interest), irrespective of personal loan, commercial, industrial or agricultural loans.



Impacts of Islamic Teachings

1. liberation from Selfishness

- Islam transforms the mind set from a selfish, individualistic, materialistic approach of life to a benevolent, friendly, helpful, humanistic conduct and behavior.
- It wants to create a synergy between those who have resources and those who have skills through *musharikah* (partnership) and *mudaribah* (profit sharing)



2. Unethical resource generation

- Those who have resources are not allowed to create artificial scarcity by hoarding or by monopoly of cartels. No gambling, speculation or betting is allowed.



3. Infaq, Sadaqat and Zakah

- An individual has right to own what ever is obtained through lawful and ethically right means . What ever is over and above his needs, he is supposed to do *infaq*. On his savings and assets, over yearly *zakah* @ 2.5 % is an obligation.
- If Muslim communities implement system of *Zakah*, it can take care of poverty, hunger, lack of health facilities, and shelter, and remove economic injustice.



4. Ethics of spending

- A responsible citizen is not supposed to harm himself nor destroy balance, peace and security in society.
- Squandering hard-earned money in gambling, drinking, drug addiction, music, dance and all unproductive pastimes, even use of gold and silver to show status is prohibited.
- Spending on good causes is encouraged. Popularization of healthy sports, investment in education, in health care, building welfare institution, promotion of tourism and healthy food, promotion of book culture, offering scholarships, building world class hostels for students, orphan and travellers and creation of *awqaf* are some measures which help in eradication of poverty, ill health, unequal distribution of wealth and elimination of class consciousness in society.



5. Circulation of wealth

- Application of ethics in economy results in circulation of wealth and elimination of concentration of resources in a few hands. Islamic system of inheritance (*mirath*) requires that after a person passes away, what ever is left behind be distributed according to Qur'anic law of inheritance.
- A person can not make a will for more than one third of the left over. If no will is made all he or she owned is to be distributed among near relations. If there are no survivor state takes over.



6. **Welfare economy**

- An economy based on social justice, welfare of common man, mass education, social security and collative insurance, brings stability, sustenance, self-reliance and non-dependency on foreign aid. Muslim as well as non muslim citizens enjoy equally in the benefits.
- Emphasis on trade and agriculture results in entrepreneurial initiatives. If a land is not cultivated continuously for three years by an owner, and someone who has no land wants to cultivate, state can transfer it to him, it is transfixed to him by the state.
- Ethics in economy creates healthy competition while discourage monopoly, exploitation and unrestricted accumulation of wealth and resources in a few hands.



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